Prepare revaluation account, partners' capital account and the balance sheet of the firm after retirement.

**(Answer: Revaluation loss: ₹ 1,000; Capital account: Kannan: ₹ 1,04,500, Rahim: ₹ 82,700, Amount paid to John ₹41,800; Balance sheet total: ₹ 2,15,200)**

**18.** Saran, Arun and Karan are partners in a firm sharing profits and losses in the ratio of 4:3:3. Their balance sheet as on 31.12.2016 was as follows:

| Liabilities | ₹ | ₹ | Assets | ₹ | ₹ |
|---|---|---|---|---|---|
| Capital accounts: | | | Buildings | | 60,000 |
| Saran | 60,000 | | Machinery | | 40,000 |
| Arun | 50,000 | | Investment | | 20,000 |
| Karan | 40,000 | 1,50,000 | Stock | | 12,000 |
| General reserve | | 15,000 | Debtors | 25,000 | |
| | | | Less: Provision | | |
| Creditors | | 35,000 | Provision for bad debts | 1000 | 24,000 |
| | | | Cash at bank | | 44,000 |
| | | 2,00,000 | | | 2,00,000 |

Karan retires on 1.1.2017 subject to the following conditions:

(i) Goodwill of the firm is valued at ₹ 21,000

(ii) Machinery to be appreciated by 10%

(iii) Building to be valued at ₹ 80,000

(iv) Provision for bad debts to be raised to ₹ 2,000

(v) Stock to be depreciated by ₹ 2,000

(vi) Final amount due to Karan is not paid immediately

Prepare the necessary ledger accounts and show the balance sheet of the firm after retirement.

**(Answer: Revaluation profit: ₹ 21,000; Capital A/c: Saran: ₹ 70,800; Arun: ₹ 58,100; Karan's loan account: ₹ 57,100; Balance sheet total: ₹ 2,21,000)**

**19.** Rajesh, Sathish and Mathan are partners sharing profits and losses in the ratio of 3:2:1 respectively. Their balance sheet as on 31.3.2017 is given below.

| Liabilities | ₹ | ₹ | Assets | ₹ | ₹ |
|---|---|---|---|---|---|
| Capital accounts: | | | Premises | | 4,00,000 |
| Rajesh | 4,00,000 | | Machinery | | 4,20,000 |
| Sathish | 3,00,000 | | Debtors | | 1,60,000 |
| Mathan | 2,50,000 | 9,50,000 | Stock | | 3,00,000 |
| General reserve | | 1,20,000 | Cash at bank | | 20,000 |
| Creditors | | 50,000 | | | |
| Bills payable | | 1,80,000 | | | |
| | | 13,00,000 | | | 13,00,000 |



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